Domestic rating agencies (India Ratings and CARE Ratings) also reaffirmed their confidence in Tata Steel's creditworthiness. India Ratings assigned the Company's debt instruments a rating of 'AAA, Outlook: Stable', while CARE Ratings reaffirmed its rating of 'AA+, Outlook: Stable'.

5. Material Litigation

a) The State of Odisha (**'State'**) enacted the Orissa Rural Infrastructure and Socio-Economic Development Act, 2004 (**'ORISED Act'**), effective February 1, 2005, providing for levy of tax on mineral-bearing land. The Company had challenged the constitutional validity of the ORISED Act before the Hon'ble High Court of Orissa, which in 2005 held that the State lacked legislative competence to levy tax on minerals. This was challenged by the State before the Hon'ble Supreme Court. Similarly, matters from several other states involving the legislative authority of the States to tax minerals were also challenged before the Hon'ble Supreme Court. In view of this, the Hon'ble Supreme Court framed common questions of law arising in the matter and in 2011, referred them for decision to its Constitution Bench. The Constitution Bench of the Hon'ble Supreme Court, vide its judgement dated July 25, 2024, held that the Mines and Minerals (Development and Regulation) Act, 1957 does not denude the States of the power to levy tax on mineral rights. Certain clarifications were also issued by the Constitution Bench on August 14, 2024 in respect of its judgement dated July 25, 2024. Thereafter, a batch of review petitions against the judgement dated July 25, 2024 and August 14, 2024 were dismissed on September 24, 2024. On January 17, 2025, the Company has filed Curative Petition(s) before the Hon'ble Supreme Court invoking its extraordinary jurisdiction against the aforesaid order dated September 24, 2024. The matter remains subject to the outcome of the Curative Petition(s) filed by the Company.

b) On March 13, 2025, the Company had received a show cause notice from the Assessing Officer, Office of the Deputy Commissioner of Income Tax, Circle 2(3)(1), Mumbai in connection with waiver of a ₹25,185.51 crore loan in favour of Tata Steel BSL Limited (now merged with the Company), for the purpose of reassessment of taxable income for AY2019-20. On March 24, 2025, the Company had filed a writ petition with the Hon'ble High Court of Bombay, challenging the authority of the Assessing Officer in conducting the reassessment of this taxable income. Further, on March 31, 2025 the Company had received an Assessment Order issued by the Assessing Officer, reassessing the taxable income for AY2019-20 and increasing the taxable amount by the amount of debt waived.

On August 12, 2025, the Hon'ble High Court of Bombay heard the matter and set aside the Notice and all subsequent proceedings or orders arising therefrom.

c) On April 2, 2024, the Company filed a writ petition before the Hon'ble High Court of Calcutta in the matter of rejection of a representation made by the Company in respect of waiver of loans availed by the Company from the Steel Development Fund, managed by the Joint Plant Committee (**'JPC'**). After multiple hearings, on May 24, 2024, the Hon'ble High Court of Calcutta dismissed the writ petition filed by the Company, with liberty to the Company to approach the JPC. The Company filed an appeal against this order before the Hon'ble High Court of Calcutta. In the meantime, the Company discharged its liability towards JPC aggregating to ₹2,970 crore, without prejudice to its rights and contentions in the Appeal pending before the Hon'ble High Court of Calcutta.

d) On July 3, 2025, the Company had received a Demand Letter issued by the Office of Deputy Director of Mines, Jajpur (**'Demand Letter 1'**), raising a demand of ₹1,903 crore, in connection with revised assessment of shortfall in dispatch of minerals from the Company's Sukinda Chromite Block, for the 4th year in terms of Mine Development and Production Agreement (i.e., July 23, 2023 through July 22, 2024) in alleged violation of Rule 12-A of the Minerals (Other than Atomic and Hydro Carbons Energy Minerals) Concession Rules, 2016 (**'MCR 2016'**).

Further, on October 3, 2025, the Company received another Demand Letter issued by the Office of Deputy Director of Mines, Jajpur (**'Demand Letter 2'**), raising a demand of ₹2,411 crore, in connection with assessment of shortfall in dispatch of Chrome Ore from the Company's Sukinda Chromite Block, for the 5th year in terms of Mine Development and Production Agreement (i.e., July 23, 2024 through July 22, 2025) in alleged violation of Rule 12A of the MCR 2016.

The Company challenged these demands before the Hon'ble High Court of Orissa (**'Hon'ble High Court'**) by filing two separate Writ Petitions for Demand Letter 1 and Demand Letter 2 on August 8, 2025 and October 29, 2025, respectively. The Hon'ble High Court stayed the demands and heard the Writ Petitions over several occasions during August 2025 through February 2026.

On April 20, 2026, the Hon'ble High Court pronounced the Judgement for both the Writ Petitions. In terms of the

Judgement, the Hon'ble High Court disposed of both the Writ Petitions, with certain directions and conclusions.

Based on the conclusions and directions passed by the Hon'ble High Court in its judgement, the Company believes that the Demand Letter 1 and Demand Letter 2 issued by the Office of Deputy Director of Mines, Jajpur stands quashed to the extent they are contrary to the conclusions and directions passed by the Hon'ble High Court.

e) On December 19, 2025, Stichting Frisse Wind.nu (**'SFW'**) issued a writ of summons on two subsidiaries of the Company, viz., Tata Steel Nederland B.V. and Tata Steel IJmuiden B.V. (jointly **'TSN'**). SFW has initiated a collective action against TSN under the Dutch Act on Collective Settlement of Mass Claims (**'WAMCA'**) before the District Court of North-Holland at Haarlem, on behalf of local residents living in the vicinity of TSN. The proceedings pertain to allegations by SFW holding TSN liable for alleged damages caused by its operations in Velsen-Noord which led to emissions of hazardous and/or harmful substances. SFW under WAMCA has sought compensation of approximately EUR 1.4 billion on account of increased susceptibility to various health issues and loss of enjoyment of living.

The Company believes that the allegations by SFW are unsubstantiated and speculative. The proceedings under the WAMCA regime will be conducted in two phases- admissibility and merits, each expected to take approximately 2 to 3 years to conclude and thus no immediate financial implication on the Company is anticipated.

E. Sustainability

1. Sustainability and Climate Change

Over the years, Tata Steel has embedded sustainability at the core of its business strategy, aligned with the Tata Group's 2045 net-zero emissions goal and the overarching Project Aalingana. Tata Steel marked a major milestone and advanced its decarbonisation pathway with progress on the 0.75 MTPA scrap-based Electric Arc Furnace (**'EAF'**) plant in Ludhiana, Punjab, India. Tata Steel Jamshedpur and Tata Steel Meramandali continued regular use of biochar and the Metaliks division achieved a breakthrough by charging 60 tonnes of bamboo-based biochar into the blast furnace, enabling a ratio of 1:1 fossil-fuel replacement.

The Company continued its shift towards usage of renewable power, accelerated by the commissioning of the 198 MW wind power facility at Karur in partnership with Tata Power Renewable Energy Limited. At the World Economic Forum, Tata Steel and the Government of Jharkhand signed a Letter of Intent and MoU to invest ~₹11.1 billion in next-generation green steel technology.

To achieve its net-zero target by 2045, Tata Steel is advancing towards low-carbon ironmaking technologies through HIsarna, a direct smelting process designed to reduce CO_2 intensity and deliver Carbon Capture Utilisation & Storage-ready flue gas, with a 1 MTPA demonstration plant planned at Jamshedpur, and EASyMelt, an electric-assisted syngas smelting technology being developed with SMS group, offering reduction in emissions up to 50%.

Under the Indo-Sweden Industry Transition Partnership, Tata Steel has secured funding for two projects which focus on microwave plasma conversion of blast furnace gas and metal recovery from slag with development of cement substitutes. The Company continues its pioneering focus on nature stewardship, through the publication of its inaugural Taskforce on Nature-related Financial Disclosures aligned to Nature Report and declaration of the Sukinda Ecorace project as a Nature-based Solution validated by International Union for Conservation of Nature, both of which are a first within Tata Group. Five new site-specific Biodiversity Management Plans are also under preparation in collaboration with external ecological experts to enhance biodiversity management across India sites.

The Company further reinforced its global Environmental, Social, and Governance (**'ESG'**) commitment by completing the ResponsibleSteel™ recertification for Jamshedpur and surveillance audits for its operations at Meramandali and Kalinganagar. In the area of mining, the Noamundi Iron Mine received a 7-Star Rating, while Joda East and Khondbond mines earned 5-Star Ratings from the Ministry of Mines, Government of India.

In the Netherlands, TSN continues to advance its climate transition objective through the continuous development of the Green Steel Project, a key element of its long-term strategy. During FY2025-26, progress was made on engineering, permitting and preparatory work to enable the construction of a Direct Reduced Iron (**'DRI'**) plant and an EAF, marking its first major step in the transition away from coal based steelmaking at the IJmuiden site.

In September 2025, Tata Steel Limited and the Dutch government signed a non-binding Joint Letter of Intent ('JLoI') which explores a framework for transitioning to low CO_2 steel production, with the Dutch Government intending to provide support of up to €2 billion for phase one. As part of the JLoI TSN plans to decarbonise its operations by decommissioning Blast Furnace #7 and Coke & Gas Plant 2 and replacing them with a DRI Plant which will operate initially on natural gas and an EAF with higher scrap usage, which together are expected to reduce scope 1 CO_2 emissions by approximately 5.4 MTPA, with further reductions of around 0.6 MTPA through Carbon Capture and Storage and up to 1.2 MTPA through the phased use of biomethane and/or hydrogen. TSN will also implement measures to improve the local living environment by reducing dust, NOx, SO_2, odour, and noise through infrastructure enclosures and mitigation initiatives. Additionally, TSN aims to improve slag processing methods and increase scrap intake from 17% to 30% to enhance circularity.

TSN aims to achieve Net Zero Scope 1 and Scope 2 emissions by 2045, in line with EU climate goals, while continuing to produce high-quality steel and contributing to the wider energy transition through the supply of low-CO_2 steel products.

In the UK, Sustainability continues to remain a fundamental pillar of TSUK's strategic transformation, and is crucial for ensuring the viability and future of steelmaking in the UK. TSUK supported the low-carbon economy through the supply of steel for renewable energy infrastructure, electric vehicles, sustainable buildings, and recyclable packaging, while also promoting responsible use of resources, circularity, product sustainability and community resilience. Further, TSUK contributed to sustainable development with its new innovative product - Catnic SolarSeam®, a bonded photovoltaic solution that delivers efficient renewable energy without visible frames and is guaranteed to operate for 25 years.

During FY2025-26, TSUK progressed its £1.25 billion transition to low-CO_2 steelmaking, supported by a grant from UK Government, and centred on the development of a large-scale electric arc furnace. Key milestones were achieved in planning, technology selection, partnerships, and customer agreements for low-emission steel. The sustainability priorities for TSUK focused on accelerating decarbonisation, maintaining high standards of safety and environmental stewardship, and developing a skilled, future-ready workforce.

TSUK continued its progress with the Zero Carbon Logistics programme which helped in reducing transport related emissions. Opportunities to deploy biofuels such as Hydrotreated Vegetable Oil (**'HVO'**) were assessed and trials were conducted for customer deliveries from the Shotton site to destinations in the Netherlands and Belgium. During the year under review, more than 70 on-site vehicles at Shotton operated fully on HVO, as an alternative to conventional diesel and some onsite vehicles transitioned to fully electric. HVO was also adopted for on-site vehicles at the Catnic site in Caerphilly. In parallel, TSUK worked closely with potential hydrogen providers in South Wales and monitored the HyHaul project, which aimed to develop hydrogen refuelling infrastructure along the M4 corridor at UK.

2. Environment

Tata Steel remains firmly committed to environmental excellence, continuously strengthening its environmental performance and advancing responsible stewardship across its operations. The Company's vision for a sustainable future is rooted in the pursuit of zero harm, resource efficiency, and a robust circular economy, all while minimising the ecological footprint and nurturing communities and workforce. The Company is dedicated to environmental protection and the responsible utilisation of natural resources, guided by comprehensive corporate policies on climate change, environment, and energy. The Company has a robust governance system, overseen by the Safety, Health and Environment Committee of the Board which provides essential guidance on global environmental matters.

Tata Steel is advancing towards its goal of achieving Net Zero emissions across its global operations by 2045, and is also committed to adopting eco-friendly processes, leveraging advanced technologies, and integrating global best practices for sustainable growth. The Company is committed to replenish freshwater and achieving zero waste to landfill for its India operations by 2030.

During FY2025-26, Tata Steel advanced its commitment to sustainable water management through a comprehensive Reduce–Recover–Recycle–Reuse strategy across all its sites by focusing on minimising freshwater consumption and enhancing treated water reuse. Key initiatives include increased recovery of treated wastewater from township sewage treatment plants and commissioning of the Biological Oxidation Tertiary Treatment Plant at the Coke Plant in Jamshedpur. Further the Company enhanced stormwater and treated effluent recovery at Kalinganagar through Central effluent treatment plant improvements and commissioning of the Coke Oven Effluent Treatment Plant. At Meramandali, Zero Effluent Discharge and rainwater harvesting projects were implemented to reduce freshwater demand. At Gamharia, the storage stump interlocks have been automated to prevent water losses. The Company has made efforts across all its locations in India to measure and control water losses. Collectively, these actions demonstrate the Company's integrated, technology-driven approach to water stewardship, strengthening water efficiency, resilience, and long-term resource sustainability.

The Company continues to invest in advanced air pollution control technologies and energy-efficient operations to maintain and constantly enhance the ambient air quality around its facilities. This science based approach encompassing real-time monitoring, emission source tracking, AQI tracking, and control of fugitive emissions has resulted in significant reductions in stack dust emissions across the Indian operations of the Company.

Innovation at Tata Steel enables the reuse and recycling of over 99% of waste generated, embedding circular economy principles into core operations. This industry-leading performance underscores Tata Steel's commitment to responsible resource management and advances the goal of Zero Waste to Landfill, aligned with Tata Group's Project Aalingana.

In the Netherlands, during FY2025-26, TSN continued its focus on improving environmental performance, with emphasis on reduction of emissions, regulatory compliance and the preparation of structural environmental upgrades linked to the Green Steel Project. Phase 1 of the Green Steel Project is expected to deliver significant CO_2 reductions, structural improvements in local environmental performance through the replacement of coal-based processes. In addition to this, as a part of the Green Steel Project and related environmental programmes, TSN has identified planned improvements such as coverage and enclosure of selected ore fields, scrapyards, windbreakers and related measures to reduce dust emissions from raw material handling which would be implemented in a phased manner subject to necessary approvals and agreements. The Roadmap+ programme remained the key framework for environmental action which targeted dust, noise and odour reduction along with reduction in emissions of substances of concern, supported by enhanced monitoring, strengthened governance and continued engagement with regulators and local stakeholders.

A key area of progress during the year under review was the further development of large scale nitrogen oxide (NOx) reduction measures. This included the DeNOx installation linked to the Pellet Plant, designed to deliver an estimated 80% reduction in NOx emissions once commissioned. TSN has also been developing a Biodiversity Policy during the year under review and planned a biodiversity risk and impact assessment with anticipated structural benefits linked to the Green Steel transition.

In the UK, with the successful decommissioning of the blast furnace assets in 2024, TSUK has made a significant progress in developing its low-CO_2 steelmaking infrastructure. As a part of TSUK's green transformation journey, it commenced construction of UK's largest low-carbon steel making facility in Port Talbot. This state-of-the-art Electric Arc Furnace is expected to reduce direct carbon emissions by approximately 90% in Port Talbot. TSUK maintains ISO 14001:2015 certification for environmental management systems at its main sites and continues to certify its products to the BES6001 sustainability standard.

3. Health and Safety

Tata Steel remains committed to fostering a strong health and safety culture, aiming for zero harm and setting industry benchmarks. Safety and Health Management are integrated into the Company's annual business plan, ensuring accountability at all levels across the organisation. Governance is driven by the Safety, Health, and Environment (**'SHE'**) Committee of the Board, with oversight from the Apex Safety Council, chaired by the Chief Executive Officer & Managing Director.

At Tata Steel, an ISO 45001:2018 aligned management system connects policy, strategy and frontline execution, while digitised risk registers enables systemic risk management by identifying hazards, validating critical controls and maintaining focus on high-consequence scenarios. The Company strengthened its safety leadership through structured shop-floor engagement, capability-building programmes, and fair reward and consequence mechanisms. Capability building at Tata Steel is driven by the Safety Leadership Development Centre and Practical Training Centre, having refreshed curricula on high-potential scenarios, Kiken Yochi Training (KYT) for hazard prediction, and programmes on mindfulness decision-making for supervisors. The Company has embraced digital innovations with the introduction of various initiatives such as the Safety Lens, Tata Digital Assistant and AI-enabled CCTV which has enabled the Company with AI-assisted safety observations, data accuracy and reporting quality. The governance cadence has been refined through Performance Improvement Team which was reconstituted for cross-site learning, and generation of weekly insights using Gen-AI.

During FY2025-26, early-warning alerts were introduced for critical parameters in LD Shops and Blast Furnaces. Tata Steel also strengthened the Pre-Startup Safety Review (**'PSSR'**) standard supported by guidelines for explosion-proof control rooms, flare-stack operations, upgraded gas safety systems, structural-integrity assessments, and hydrogen-readiness training. The digital linkage of Project Hazard PSSR have progressed to ensure safe start-up of new facilities.

Tata Steel has significantly enhanced its road and rail safety through targeted traffic-management, reduced vehicle in/out cycle times, digital support for yard discipline, paperless weighbridge processes, and strengthened speed control and surveillance along rail corridors-standardised via cross-site logistics workshops. Contractor safety is advanced through parity of protection via a common Personal Protective Equipment platform, a redesigned Vendor Star Rating for cadence and transparency, digitised sub-vendor onboarding for traceability, and skill certification for high-risk jobs.

Emotional well-being and occupational health continues to be the topmost priority of the Company. The Company places focus on industrial hygiene and ergonomics programmes across locations. Emotional well-being support has been deepened through the Employee Assistance Programmes. The Company also employs services of physical counsellors, along with telephonic and chat-based counselling services. It has undertaken programmes for developing emotional first aiders and launched targeted campaigns to promote psychological safety, complemented by wellness recognition initiatives with the involvement of joint workforce committees.

Fatality at workplace is the foremost safety concern of the Company. It is with deep regret that we report eight fatalities in Tata Steel India operations. With the expansion of the footprint in India, we have to prioritise safety and be firmly committed to zero-harm across locations. We are strengthening our processes, deploying technology, and deepening awareness to ensure highest standards of safety.

To nurture a positive safety culture, the Company continues to recognise and encourage safe behaviours and contributions from workforce, fostering continuous improvement in Health & Safety.

In the Netherlands, Health & Safety remains a top priority reflecting the inherent risks of large scale integrated steelmaking and the need for robust control during a period of significant operational change. In October 2025, TSN launched a dedicated Health, Safety and Environment Turnaround Programme (**'HSE programme'**), prioritising the Health & Safety governance, compliance and execution across the organisation thereby supporting the License to Operate for TSN and safe execution of its major projects, including the Green Steel Project. The HSE programme aims to reinforce regulatory discipline, improve transparency and strengthen capabilities in both process safety and occupational safety. Key elements of the HSE Programme include clearer roles and accountabilities, enhanced oversight of safety critical-risks and a stronger emphasis on measurement quality, monitoring and incident follow-up. TSN has also established safety programmes such as TrueSafe, strengthening incident investigation, contractor safety management resulting into visible leadership engagement.

In the UK, TSUK continues to operate its internal 15-Principle Health and Safety Management System, and has progressed towards achieving ISO 45001:2018 certification with five business units having obtained the certification compared to three in the previous fiscal year. TSUK also continued to strengthen its Health, Safety and Environment culture through various initiatives including the implementation of a new Health Safety Sustainability and Environment culture survey aligned with the ISO principles and the continuation of FELT Leadership safety training. At TSUK, health and safety performance improved during the year under review, with total accidents reduced by 20% compared to previous year and Lost Workday Cases reduced by 9%. It is nevertheless with deep regret that TSUK reported a fatal incident to an employee at its Corby works in January 2026. In process safety, the key focus was the completion of hazard studies to support the safe design and construction of new assets, including the Electric Arc Furnace.

4. Research and Development

Tata Steel's Research & Development (**'R&D'**) function continues to serve as a strategic driver of sustainability leadership and competitive strength for the Company. The R&D efforts focus on developing high-performance, environmentally responsible products while reducing carbon footprint and improving process efficiency across the value chain.

Tata Steel, in collaboration with a fuel-oil manufacturing start-up, successfully developed and implemented a biofuel for blast furnace injection, replacing carbon-emitting Low Sulphur Fuel Oil after rigorous lab, pilot and phased plant trials. The successful establishment of biofuel injection offered a reduction of approximately

100 kg of CO_2 per ton of hot metal. During the year under review, the Company also developed and patented a combustion accelerant based process to enhance coal combustibility in BF-PCI and DRI operations by lowering ignition temperature and improving carbon utilisation. Commercial trials demonstrated a 6.5% reduction in coal consumption in DRI kilns with just 1% additive dosing and a 2–2.5 kg/ton hot metal fuel-rate reduction in blast furnaces, promising lower cost and carbon-footprint.

In September 2025, under the 'One Tata Steel' initiative, the establishment of Tata Steel Research and Innovation Limited (**'TSRIL'**) marked a significant and pivotal step in centralising and accelerating advanced R&D. TSRIL, a subsidiary of TSUK, operates from the UK and provides R&D benefits to Tata Steel Limited, TSUK and other Tata Steel Group Companies. TSRIL functions as an agile, asset light innovation hub, optimising returns through efficient resource deployment and strong collaboration with leading universities and research institutions.

Accelerating the Development of Automotive and Packaging Steel Technology for EAF production (**'ADAPT-EAF'**), a flagship research initiative in Low Carbon Green Steelmaking, was launched to develop next-generation, high-performance steels for automotive and packaging applications using Electric Arc Furnace (**'EAF'**) technology. The Company has entered into collaborative projects for ADAPT-EAF with the University of Cambridge, Imperial College London, and the University of Warwick, to reinforce Tata Steel's ambition to lead green steel innovation in the UK. This initiative addresses challenges related to residual elements in high-recycled-content steel. An AI-enabled platform is being developed to predict scrap-related impacts on steel quality, supported by rapid alloy prototyping and testing to design EAF-optimised steel grades. This will strengthen TSUK's capability to produce high-quality, low-carbon steel domestically while enabling group-wide knowledge sharing.

In India, Tata Steel achieved a major milestone by successfully completing plant trials for advanced high-strength steel grades Dual Phase (DP) 980 and DP 1180. These grades are crucial for the automotive sector as they directly support the 'Make in India' and 'Atmanirbhar Bharat' initiatives thereby reducing dependency on imports.

During FY2025-26, Tata Steel significantly expanded its intellectual property portfolio by filing 139 new patent applications, focused on technological advancements throughout the steel value chain. Tata Steel, while prioritising the protection of its new inventions, successfully obtained 71 patent grants in FY2025-26 from patent applications filed in prior years. The Company highlighted strong portfolio management practices and high patent grant success rate which was recognised by Tata Steel's inclusion in the ASIA IP Elite 2025, making it the only Indian manufacturing company to receive this distinction.

In the Netherlands, TSN continued to collaborate with external partners on fundamental and applied research to drive innovation and accelerate the development of new technologies. The most important future oriented focus areas are the development and implementation of new processes, particularly Direct Reduced Iron and Electric Arc Furnace technologies, as well as product development aligned with these new installations. During FY2025-26, TSN was linked to ~80 Ph.D. and postdoctoral research positions with prominent Dutch technical universities such as Delft, Twente and Eindhoven including government supported Growing with Green Steel consortium which focused on green steel transition. In FY2025-26, first successful melt was delivered out of scrap melter which was built in-house by TSN in collaboration with Growing with Green Steel consortium and so far approximately 17 melts have been done.

TSN focussed towards enhancing R&D and applied the learnings to advance digital technologies and data-driven solutions to support sustainability objectives and enhance operational efficiency and performance.

In the UK, research activities in TSUK continued in line with the strategic technology roadmaps through four core thematic areas focusing on scrap, slag and secondary metallurgy, materials design and process modelling, end product design and application, and coatings and laminates. Further, in order to leverage the best in research and development, TSUK closely collaborated with universities and Research and Technology Organisations in the UK. During FY2025-26, TSUK maintained robust portfolio of 196 patents across 33 patent families, 432 trademarks within ~207 trademark families, and 6 designs in 3 design families. In FY2025-26, TSUK had filed for 8 patents out of which 6 were granted to it.

5. New Product Development

In FY2025-26, Tata Steel developed 81 new products across various segments, supported by product quality assurance, proactive customer engagement, and extended technical assistance, all aimed at enhancing customer satisfaction and operational excellence.

Cold Rolled and Coated Products: Tata Steel's product portfolio now includes Bake Hardening (BH) steels

(BH180, BH220), offering exceptional formability, superior in-service strength, and enhanced dent resistance, tailored for Indian conditions. The Company has also developed high-strength interstitial-free (IFHS) steels (IFHS390, IFHS440), significantly expanding its offerings for automotive panel segments. For critical safety components, the Company has developed C-Mn440, HSLA420, and CQ590 grades to bolster Company's product offerings with materials designed for improved crash resistance. To meet the demands of lightweighting and superior crash performance, the Company has developed a comprehensive family of Advanced High-Strength Dual Phase (DP) steels (DP590, DP780, DP980, DP1180) and secured approvals from major automotive customers. Furthermore, towards its commitment to sustainability, Tata Steel has developed multiple secondary coatings with Cr+3 and Cr-free passivation, eliminating carcinogenic hexavalent chromium and ensuring products meet stringent Restriction of Hazardous Substances norms with improved service life.

Shipbuilding Excellence: At the Kalinganagar Hot Strip Mill, the Company has successfully developed advanced steel grades designed for the most stringent shipbuilding applications. These materials meet critical requirements for strength and toughness at low temperatures. Tata Steel's capabilities have been validated by international approvals, including four grades (B, D, AH36, DH36), leading to commercial supplies to major shipbuilding customers. Additionally, the Company has secured Det Norske Veritas approvals for three grades (NVA, NVB, NVA36).

Oil & Gas Solutions: Tata Steel's advanced line pipe steel solutions are driving innovation in the Oil & Gas sector and pioneering green energy infrastructure by commercially supplying HSAW and LSAW/X60 grades for naphtha pipelines, meeting stringent fracture toughness at -25°C and -29°C respectively. Further, the Company has successfully produced and commercially supplied X65 Sour grade and X52 Sour grade to the Middle East and North Africa region. Additionally, Tata Steel's capability to produce API X65 Sour and API X65 grades specifically for 100% hydrogen transportation at 200 bar pressure, has strategically positioned the Company at the forefront of future green energy solutions.

General Engineering, Construction, and Projects: Tata Steel has developed the S700MC grade, a high-strength, high-toughness steel guaranteed for impact at -40°C. This critical material is vital for demanding applications, such as hanging platforms in arctic regions. Additionally, the Company produces high-strength steels of YST450 and YST550 variants tailored for solar mounted structures, supporting renewable energy infrastructure with durable and efficient materials. In the Long Products segment, the Company has marked a significant achievement with the development of 50 new products, 6 of which are 'First-Time-in-India' products.

In the Netherlands, during FY2025-26, TSN successfully launched and commercialised 12 new products and services across Automotive, Engineering, Packaging, Construction and Building Systems. Automotive innovations included (i) extension of the Full Finish portfolio with galvanised CR270BH, the strongest full finish grade, offering increased strength and improved dent resistance and (ii) introduction of Fuchs Advanced Tribo Primer Boosterlube, improving stamping performance in customers' press shops. TSN launched a 25 mm extension of its 'S235 Thicker and Stronger' product range, designed for use in heavy vehicles, machinery applications and engineering applications. Additionally, Protact-TCCT TH550, a thin and wide material for food cans with direct seal, increased width for aerosol bottom applications and strong buckle and burst performance was introduced for packaging material. A Green Roof system was launched for building systems. Additionally, a 'Take Back' service was introduced for product use after 20 - 40 years, supporting circularity. TSN also introduced Next Generation Magizinc which improved flexibility and surface quality and launched Colorcoat SDP35 on ZM120 with reduced zinc weight, supporting customers' sustainability performance in the Colors segment. The Tubes segment witnessed extension of high strength piling tubes in the 10 mm thickness range for unstable soils and the launch of the Contiflo tube with improved, more environmentally friendly coatings and enhanced corrosion resistance.

In the UK, during FY2025-26, TSUK retained a healthy pipeline of new product developments, each making progress in its journey, while focusing on embedding it's reroller model across its existing range of new and differentiated products. The Company ensured that its imported substrate meet its customer expectations in the UK and export markets while upholding the commitment of TSUK to sustainability, in-service performance guarantees, and rigorous product assessment standards. TSUK continues to focus on strengthening its market position by developing, testing and supplying low embodied carbon versions of the existing products by using third party EAF substrate underpinning its transition to the new EAF steelmaking in the UK.

6. Customer Relationship

During FY2025-26, Tata Steel marked a clear step-change in its approach to customer relationships shifting from engagement led initiatives to deep, solution-oriented partnerships anchored in capability, innovation and digital & AI enablement. The reporting fiscal was characterised by domestic demand resilience and global volatility, during which the Company continued to reinforce trust, relevance and value delivery across customer segments.

Strategic Investments supporting customer value

The Company reinforced its production and service infrastructure with key capacity additions such as the Continuous Annealing Line which enabled increased localisation and scaling up of advanced automotive grades. The Galvanising Line at Kalinganagar and Combi Mill at Jamshedpur were commissioned which produced commercial output, strengthening Tata Steel's ability to supply application-specific and value added steels. FY2025-26 marked an important milestone in Tata Steel's transition towards sustainable steelmaking with the inaugration of its scrap-based Electric Arc Furnace (**'EAF'**) at Ludhiana, Punjab, India. The EAF is engineered for CO_2 emissions of less than 0.3 tonnes per tonne of steel, and strengthened Tata Steel's low-emission pathway while reinforcing long-term alignment with customer priorities and sustainability imperatives.

Strengthening Automotive, Engineering and Strategic Sector Partnerships

At Tata Steel, customer engagement in automotive segments deepened through increased localisation of advanced grades, supported by a growing portfolio of Advanced High Strength Steel, Ultra High Strength Steel, Forging quality steel along with multiple Original Equipment Manufacturer approvals. These capabilities enabled customers to meet safety, lightweighting and performance requirements with greater supply assurance. To further enhance service experience, Tata Steel introduced a real time mixed reality customer support solution for automotive customers, enabling experts to remotely assess issues in 3D and collaborate directly within customers' production environments, thereby significantly improving speed of resolution and operational alignment.

During FY2025-26, in addition to the automotive segments, Tata Steel strengthened its presence across strategic, future-oriented segments, including shipbuilding and defence-related applications, supported by international certifications that enabled the Company to participate in higher-spec and global orders with stringent quality and reliability requirements. The Company entered into a partnership with a state-of-the-art processing facility in the northern region which further enhanced serviceability and customer engagement in the appliances segment. In parallel, the Company expanded its footprint in renewable energy, consumer durables and capital goods, driven by targeted product approvals and the commercialisation of innovative offerings such as poly-coated steel and advanced high-strength grades. Through dedicated customer service teams and structured programmes such as Wired2Win, VAVE, EVI and Building Bonds, Tata Steel deepened co-creation and capability-led performance improvement across the value chain, complemented by expanded service-centre reach and tighter integration with customers' development and sourcing processes.

Construction and Infrastructure: An Integrated Execution-Led Proposition

During FY2025-26, customer relationships in construction and infrastructure increasingly evolved from material supply to execution certainty. Tata Steel strengthened this engagement through an integrated model that combined fabrication capability, downstream processing, service centres and differentiated execution solutions. The downstream value-added portfolio was further enhanced through acquisition of 100% equity stake in Tata Steel Colors Private Limited (erstwhile Tata BlueScope Steel Private Limited), which expanded roofing and wall-cladding solutions to address the growing demand for aesthetically superior products in the retail segment, while also supporting infrastructure requirements across sectors.

During FY2025-26, plate-fabricated construction solutions scaled up, serving over 11 major infrastructure projects, supported by an expanded fabrication and processing network. These capabilities improved responsiveness to complex project requirements and reinforced Tata Steel's position as a trusted partner for high-value infrastructure and industrial developments, including data centres, airports and power plants.

Execution-focused innovations further strengthened this proposition. The InQuik modular bridge system, a globally proven rapid-construction solution, achieved a key milestone with successful deployment in India, demonstrating its potential to significantly compress construction timelines. The Mobile Bore Pile Cage, a first-of-its-kind on-site solution, addressed critical foundation stage challenges by enabling faster, safer and more consistent pile-cage fabrication at project sites. Complementing these initiatives, solution-led downstream offerings such as Ready Build and Sm@rtFAB continued to gain traction, reflecting a growing customer preference for execution ready models that reduce complexity and improve delivery outcomes.

Sustainable Solutions and Value-Added Offerings

Tata Steel advanced low-carbon, energy efficient and future-ready solutions through Nest-In, including the delivery of a Zero Energy Building and 100+ Light Gauge Steel Frame Anganwadi centres, reinforcing its commitment to sustainable construction. These sustainability-linked offerings deepened customer partnerships by integrating speed of execution, structural durability and lower lifecycle impact into construction outcomes.

In the packaging segment, trial production of DoS-A coils further strengthened Tata Steel's sustainability proposition by enabling potential savings of ~6 litres of water per drum manufactured, reinforcing long-term customer relationships through shared value creation.

Experience, Transparency and Ecosystem Enablement

As customer engagements widened, experience and transparency became key differentiators. Digital platforms strengthened ease of interaction and visibility across segments. Aashiyana continued to evolve as a content-to-commerce ecosystem for individual home builders, while DigECA expanded digital engagement with Emerging Corporate Account (**'ECA'**) customers through end-to-end visibility and integration. Platforms such as COMPASS Nxt for B2B customers and SmartTrack for Tata Pravesh embedded real-time visibility, faster service response and intuitive engagement interfaces into everyday customer interactions. TSL Cares, the GenAI-enabled complaint management platform, progressively emerged as the preferred channel for service resolution, strengthening responsiveness and enhancing customer confidence. Complementing these, Techlab - India's first mobile rebar testing unit, further reinforced customer assurance through transparent, on-site quality validation.

Alongside digital enablement, sustained capability-building initiatives such as Create, Techtalk, Skilling India, insIITe, and PAG interventions benefitted over 3,500 SME customers and over 4,500 masons, fabricators, influencers and channel partners. These interventions strengthened correct application practices, safety awareness and on-site productivity, helping ensure that value delivery consistently met customer expectations.

In the Netherlands, TSN strengthened its customer proposition by focusing on the reliable supply of high-quality steel and long-term market-specific partnerships, tailored to market needs. The commercial strategy of TSN emphasises on stability, and expertise, thereby positioning the Company as a trusted partner, more specifically in applications where material performance is critical for operational continuity, safety and long-term asset value. Customer engagement is embedded in the functioning of TSN and is supported through direct dialogue, satisfaction surveys, complaint management and joint workshops and partnerships (including R&D trials). This enables alignment with the customer requirements and growing demand for responsible production and sourcing. During the year under review, TSN's focus on broader stakeholder engagement related to the Green Steel Project enhanced transparency, reinforced customer confidence & market position and helped integrate expectations into decision-making.

In the UK, TSUK advanced strategic growth through product innovation and stronger customer partnerships, supporting major projects across building systems, engineering, automotive, and distribution businesses, including advanced ComFlor® composite floor decking solutions, which enabled the securing of high-profile projects such as the Luton Airport Pheonix MSCP2 and the Qiddiya Speed Park Track. Collaborative development initiatives and a new EAF-focused automotive and packaging steel technology programme strengthened customer-aligned R&D.

During FY2025-26, TSUK made substantial progress in advancing sustainability and increased supply of low-carbon steel solutions across construction, automotive, and packaging sectors. Progress was made in reducing emissions, increasing renewable energy use, and advancing circularity initiatives, reinforcing its role as a key partner in customers' decarbonisation pathways. TSUK offered market-leading product solutions and received accolades for innovation.

Building Systems UK supplied Optemis® Carbon Lite to major London projects, while Colorcoat advanced low-carbon leadership through certifications, industry recognition, and enhanced product durability. The Packaging and Automotive sectors focused on low-CO_2 solutions, higher recycled content, emissions reduction, and scrap circularity, positioning Tata Steel UK as a key sustainability partner. Catnic GmBH transitioned to 100% renewable electricity, reduced Scope 1 and 2 emissions, and progressed bio-engineered insulation solutions for future products. Catnic's SolarSeam renewable solution gained market traction through a partnership in social housing scheme. The Surahammar electrical steel plant secured three automotive projects and initiated strategic investments to further enhance product quality for automotive applications. The Tubes business developed fully normalised pipe solutions across the Corby and Hartlepool sites strengthening product differentiation and delivering consistent, high-performance outcomes. Several sites also received industry recognition for innovation and sustainability.

7. Digital Transformation

Tata Steel continues its accelerated journey towards becoming a digitally empowered, data and AI enabled, future-ready enterprise. During FY2025-26, the Company strengthened its Industry 4.0 foundation through large-scale AI adoption, enhanced data governance, and integrated digital operations across geographies. Some of these initiatives which collectively enabled measurable improvements in productivity, cost efficiency, and operational resilience are as follows:

AI Adoption and Engagement: In FY2025-26, Tata Steel significantly expanded the use of Narrow (a mathematical AI running on large datasets like Operations and Forecasting) and Generative AI (a creative, conversational, language-based medium) across the value chain. The Company deployed 860 models and agents globally covering machine learning, optimisation, deep learning and autonomous agents to enhance employee and customer experience, safety, and business automation. The adoption of over 300 agents led to improvements across business processes including invoice processing, audit functions, commercial intelligence and personalised day-to-day human resource activities.

AI Enabled Decision Support: During FY2025-26, Tata Steel Digital Assistant (**'TDA'**), a secure, in-house AI platform providing governed access to employees, was upgraded to an agentic architecture. The enhanced TDA allows employees to perform complex tasks by combining multiple data sources while ensuring strong data security and privacy. The Company invested in customised architecture to align models with underlying organisational knowledge and business context with sustained usage expected to further improve contextual understanding and personalised outcomes. Tata Steel advanced its AI-ready data strategy and achieved 98% standardisation of key data and KPI definitions across major units, and deployed the Data and Analytics Target Operating Model ('**DATOM**') framework globally to assess data maturity through evidence-based dip-checks. AI was also embedded into core management processes, transitioning leadership KPI reporting from manual to system-driven mechanisms.

Manufacturing Excellence: During FY2025-26, Tata Steel has significantly progressed towards manufacturing excellence through AI-enabled Remote Operations & Maintenance which continues to evolve into strategic assets, enabling predictive, real-time management of critical assets and AI assisted autonomous operations.

Customer Experience: The Company has achieved a strong sales performance through its digital platforms, amounting to approximately USD 1 billion. Tata Steel is in the process of deploying Unified Customer Service Agent, a first in the steel industry, for better client servicing.

Functional Excellence: Functional excellence was sustained through the Company's long-term initiatives in supply chain optimisation, spares and repairs management, and inventory reduction, which continued to deliver meaningful value. A major step towards the vision of 'One Tata Steel' was the successful harmonisation of technology platforms across India, Netherlands and the UK with the migration of Tata Steel UK's SAP system to India being a key milestone. Integrated operations were further strengthened through enhanced cybersecurity, unified SAP landscapes, and the adoption of common digital standards across geographies.

The Company maintains strong digital leadership across data, AI, automation, and integrated IT architectures recognised by Gartner for six consecutive years. Our WEF Global Industry Lighthouse sites at IJmuiden, Kalinganagar and Jamshedpur account for 78% of steel production, delivering sustainable value creation, cost efficiency, and organisational agility.

8. Corporate Social Responsibility

The objective of the Company's Corporate Social Responsibility (**'CSR'**) initiatives is to improve the quality of life of communities globally through long-term value creation for all stakeholders. The Annual Report on CSR activities, in terms of Section 135 of the Companies Act, 2013 and the Rules framed thereunder, is annexed to this Report as **Annexure 1**. The Company's CSR policy provides guidelines to conduct CSR activities of the Company as well as provides governance mechanism for the same. The salient features of this Policy form part